

HARBOR POINT SPECIALTY INSURANCE COMPANY

Excess & Surplus Lines Division

CLAIM FILE DOCUMENTATION PACKAGE

CLASS ACTION — STRUCTURAL CONSTRUCTION DEFECT

FOUNDATION PILE CORROSION & POST-TENSIONED SLAB DEFICIENCY

Claim Number:	HPSI-ES-2024-FL-11204
Insured:	Landmark Development Group LLC
Development:	Palmetto Bay Village — 2200 Ponce de Leon Blvd, Coral Gables, FL 33134
Claimant Counsel:	Colson Hicks Eidson (on behalf of 287 unit owners — class action)
Case No.:	2024-CA-004817 Miami-Dade Circuit Court — Filed: February 20, 2024
Claim Type:	E&S Class Action CD — Foundation Pile Corrosion & PT Slab Deficiency
Date of Loss:	January 22, 2024
Date Reported:	February 8, 2024
No. of Claimants:	287 unit owners (89.7% of 320-unit tower)
Gross Class Demand:	\$55,000,000
Remediation Estimate:	\$14,800,000 (BKSE estimate — ±20%)
Primary Reserve:	\$18,000,000
Umbrella Carrier:	Chubb Ltd. — \$15M xs \$18M — On Notice
Assigned Adjuster:	Victor R. Pelham, Senior Adjuster

DOCUMENTS INCLUDED IN THIS PACKAGE

- Document 1: First Notice of Loss (FNOL)
- Document 2: Insured Statement & Loss Narrative
- Document 3: Coverage & Exposure Questionnaire
- Document 4: Construction-Specific Supplemental Intake Form
- Document 5: Initial Case Assessment (ICA)

Document 6: Structural Assessment Report — Executive Summary (BKSE)

Document 7: Class Action Complaint — Summary & Demand Overview

Document 8: Reserve & Subrogation Analysis Memorandum

CONFIDENTIAL — ATTORNEY-CLIENT PRIVILEGED / WORK PRODUCT

Not for Distribution Without Prior Written Authorization

FIRST NOTICE OF LOSS (FNOL) — EXCESS & SURPLUS LINES CLAIM

Harbor Point Specialty Insurance Company | E&S; Commercial Construction Defect Unit

CLAIM REFERENCE INFORMATION			
Claim Number:	HPSI-ES-2024-FL-11204	Date of Loss:	January 22, 2024
Policy Number:	HPSI-ESL-CO-FL-2022-5581	Date Reported:	February 8, 2024
Line of Business:	E&S GL / Completed Operations	Handler:	Victor R. Pelham, Sr. Adjuster
Claim Type:	Multi-Defect Structural CD — Class Action	File Status:	OPEN — Active Litigation
Primary Reserve:	\$18,000,000	Umbrella Carrier:	Chubb Ltd. — \$15M Umbrella On Notice
SIR:	\$500,000 per occurrence	Subrogation Flag:	YES — 3 Third-Party Targets

INSURED INFORMATION	
Named Insured:	Landmark Development Group LLC
Entity Type:	Real Estate Developer & General Contractor (Licensed — Florida)
Principal Address:	1221 Brickell Avenue, Suite 2800, Miami, FL 33131
Primary Contact:	Steven Okoro, VP Risk Management & Legal
Phone / Email:	(305) 555-0187 s.okoro@landmarkdevgroup.com
License No. (FL):	CGC-FL-1527844 Developer License: FL-DEV-2019-0492
Years in Business:	Founded 2005 — 19 years operating
Project Type:	27-Story Mixed-Use Condominium Tower — Coral Gables, FL

BROKER / PRODUCING AGENT INFORMATION	
Brokerage Firm:	Coastal Risk Advisors LLC
Broker Contact:	Margaret Fonseca, CPCU — Construction Practice Leader
Address:	801 Brickell Key Drive, Suite 700, Miami, FL 33131
Phone / Email:	(305) 555-0240 m.fonseca@coastalriskadvisors.com
Wholesale Broker:	RPS / Risk Placement Services — Miami Regional Office
FNOL Submitted By:	Margaret Fonseca on behalf of Insured
FNOL Method:	Certified Mail + Encrypted Portal Submission

POLICY INFORMATION			
Policy Number:	HPSI-ESL-CO-FL-2022-5581	Policy Form:	CG 00 01 04 13 (E&S Modified FL)
Policy Period:	10/01/2023 – 10/01/2024	Retroactive Date:	10/01/2012
Each Occurrence:	\$5,000,000	General Aggregate:	\$10,000,000
Completed Ops Agg:	\$10,000,000	SIR:	\$500,000 per occurrence
Defense:	Defense Within Limits (DWL)	Trigger:	Occurrence — Property Damage
Punitive Dmg Excl.:	YES — standard exclusion	Umbrella:	Chubb Ltd. — \$15M xs \$18M
Property Damage Def.:	Physical injury to tangible property OR	Coverage Excl.:	Completed Operations

LOSS SUMMARY

On January 22, 2024, the Palmetto Bay Village Condominium Association Board of Directors retained Brizuela & Kowalski Structural Engineers (BKSE) to conduct a building-wide structural assessment of Palmetto Bay Village, a 320-unit, 27-story mixed-use condominium tower located at 2200 Ponce de Leon Boulevard, Coral Gables, FL 33134. Certificates of occupancy for the development were issued between March and September 2022. The building was developed and constructed by Landmark Development Group LLC.

BKSE's 140-page assessment report (February 5, 2024) identified three critical structural deficiencies: (1) foundation pile capacity deficiency — 7 of 9 sampled auger-cast piles exhibited insufficient grout cover (avg. 28mm vs. 75mm ACI 318 minimum), with 3 piles showing 15–22% rebar section loss from chloride-induced corrosion; (2) post-tensioned parking slab deficiency — inadequate cover over PT tendons (avg. 18mm vs. 38mm ACI 362.1R minimum), with tendon corrosion staining at 34 locations and 8 tendons with compromised grouting confirmed by GPR; and (3) special inspector failure — Certified Inspections of South Florida LLC performed only visual inspections for pile rebar cage placement without physical measurement, contrary to the project's Structural QA Plan.

The City of Coral Gables issued a Structural Concern Notice on February 12, 2024, imposing load restrictions on the parking structure and requiring a remediation plan within 90 days. On February 20, 2024, Colson Hicks Eidson filed a class action on behalf of 287 unit owners in Miami-Dade Circuit Court (Case No. 2024-CA-004817). Total class demand: approximately \$55,000,000. Remediation estimate: \$14,800,000.

INITIAL SEVERITY INDICATORS		
Risk Level	Category	Assessment
CRITICAL	Class Action — Gross Demand	\$55,000,000 287 unit owners Miami-Dade Circuit Court filed 02/20/2024
CRITICAL	Structural Safety / Gov't Action	City of Coral Gables Structural Concern Notice — load restrictions in force
CRITICAL	Foundation Pile Corrosion	Rebar section loss 15–22% in sampled piles; chloride-induced; 124-pile system at risk
CRITICAL	Primary Reserve vs. Demand	\$18M primary + \$15M Chubb umbrella vs. \$55M demand — policy limits at risk
HIGH	PT Slab Structural Risk	8+ compromised tendons; 34 staining locations; parking structure load restricted
HIGH	Multi-Defendant Litigation	4 defendants: Landmark, Vega Structural, Suncrest Concrete, Certified Inspections
HIGH	Remediation Cost	\$14,800,000 estimate including cathodic protection, tendon replacement, shoring
HIGH	Punitive Damages Demand	Class action complaint includes punitive damages — excluded under policy
MEDIUM	HOA Ongoing Losses	\$18,000/month valet/offsite parking — accruing consequential damages
MEDIUM	Reputational / Media	27-story high-profile Coral Gables tower; class action news coverage anticipated

■ **CRITICAL — CLASS ACTION FILED:** Policy limits (\$18M primary + \$15M umbrella = \$33M) are materially below the \$55M class demand. Chubb umbrella coordination is mandatory. Bad-faith exposure monitoring required. Coverage counsel and trial counsel must be engaged immediately.

INSURED STATEMENT & LOSS NARRATIVE

Landmark Development Group LLC | Claim No. HPSI-ES-2024-FL-11204

STATEMENT INFORMATION

Statement Taken By:	Victor R. Pelham, Senior Claims Adjuster, Harbor Point Specialty Insurance Co.
Statement Date:	February 15, 2024
Location:	Landmark Development Group LLC — Miami, FL (Board Room, 28th Floor)
Present:	Steven Okoro (VP Risk, Landmark); Margaret Fonseca (Coastal Risk Advisors); David Reyes, Esq. (Defense Counsel)
Format:	Recorded and transcribed; reviewed and executed by insured representative February 22, 2024

CHRONOLOGICAL LOSS NARRATIVE

1. PROJECT BACKGROUND & DEVELOPMENT (2019–2022)

Landmark Development Group LLC acquired the Palmetto Bay Village development site at 2200 Ponce de Leon Boulevard, Coral Gables, FL 33134 in 2019. The project was conceived as a 27-story mixed-use condominium tower comprising 320 residential units above grade 5, with retail on level 1 and a four-level parking structure on levels 1–4. A resort-style pool deck was constructed on level 5. Total project cost: approximately \$148,000,000. Landmark served as both developer and general contractor. The structural engineer of record was Vega Structural Design Inc. (Miami). The concrete subcontract — encompassing the auger-cast pile foundation system, all PT slab work, and structural concrete — was awarded to Suncrest Concrete LLC (Hialeah, FL) for approximately \$22,400,000. The project's special inspector was Certified Inspections of South Florida LLC, engaged pursuant to the Structural Quality Assurance Plan required by the City of Coral Gables Building Department. Certificates of occupancy were issued between March 14 and September 22, 2022.

2. CONSTRUCTION — FOUNDATION PILE SYSTEM (2020)

The building foundation consists of a 124-pile auger-cast pile system installed by Suncrest Concrete LLC during 2020. The pile design, prepared by Vega Structural Design Inc., specified 75mm minimum grout cover over the reinforcing cage per ACI 318-19 requirements for marine/coastal exposure environments (Exposure Class W2/C2). Certified Inspections of South Florida LLC's inspection logs for the pile installation program indicate 'visual inspection — cage placement approved' at 41 pile locations. No physical measurement of the cage position relative to the bore diameter was recorded for any pile in Certified Inspections' logs, contrary to Section 4.3 of the project's Structural QA Plan, which required physical measurement and documentation of cage centering at every pile.

3. CONSTRUCTION — PARKING STRUCTURE PT SLABS (2020–2021)

Post-tensioned concrete slabs forming the parking structure (levels 1–4) were designed by Vega Structural Design Inc. with 38mm minimum cover over PT tendons per ACI 362.1R requirements for parking structures with potential de-icing chemical exposure. The PT slab work was performed by Suncrest Concrete LLC. Certified Inspections' inspection logs reference tendon placement at numerous deck pours but contain no recorded measurements of tendon cover depth — inspections were characterized as 'visual approval' throughout.

4. INITIAL OBSERVATIONS & ASSOCIATION BOARD RESPONSE — 2023

In mid-2023, residents began reporting to the condominium association's management company (Premier Condo Management Services) observations of stair-step cracking in the exterior masonry of the parking structure and visible settlement in portions of the level 5 pool deck. The association's board of directors initially engaged a local structural consultant for a limited review in October 2023, who recommended a comprehensive assessment. On January 22, 2024, the board retained Brizuela & Kowalski Structural Engineers (BKSE) to perform a full building-wide structural assessment. This date constitutes the operative Date of Loss for claim purposes.

5. BKSE STRUCTURAL ASSESSMENT — JANUARY 22 TO FEBRUARY 5, 2024

BKSE conducted a comprehensive structural investigation including: physical coring of 9 piles selected across the 124-pile mat; GPR scanning of the parking structure PT slabs; visual mapping of crack patterns throughout the parking structure; review of as-built drawings, shop drawings, inspection logs, and material certifications. BKSE's 140-page report, issued February 5, 2024, identified critical deficiencies

in the foundation pile cover (avg. 28mm vs. 75mm minimum) and PT slab tendon cover (avg. 18mm vs. 38mm minimum), and concluded that the special inspector's failure to physically measure and document cover depths during construction constituted a significant QA failure.

6. REGULATORY ACTION — FEBRUARY 12, 2024

Following notification by the HOA on February 9, 2024, the City of Coral Gables Building Department conducted an on-site review. On February 12, 2024, the Department issued a Structural Concern Notice requiring: (a) immediate load restrictions on the parking structure limiting vehicles to 5,000 lbs or less; (b) submission of a remediation plan within 90 days; and (c) quarterly monitoring of settlement markers on the pool deck. The load restrictions have rendered the parking facility unusable for approximately 40% of resident vehicles (SUVs and trucks). The HOA immediately engaged valet and offsite parking arrangements at \$18,000/month.

7. CLASS ACTION LAWSUIT FILED — FEBRUARY 20, 2024

On February 20, 2024, Colson Hicks Eidson filed a class action complaint in Miami-Dade Circuit Court on behalf of 287 of the 320 unit owners, captioned Palmetto Bay Village Unit Owners v. Landmark Development Group LLC et al., Case No. 2024-CA-004817. Defendants include Landmark Development, Vega Structural Design Inc., Suncrest Concrete LLC, and Certified Inspections of South Florida LLC. The complaint asserts: negligence, breach of implied warranty of habitability, violation of Florida Building Code, and seeks punitive damages. Total class demand: \$55,000,000.

8. CLAIM TENDERED TO HARBOR POINT SPECIALTY — FEBRUARY 8, 2024

Steven Okoro (VP Risk) notified Coastal Risk Advisors upon receipt of the BKSE report. Margaret Fonseca submitted the FNOL to Harbor Point Specialty Insurance on February 8, 2024. Defense counsel David Reyes, Esq. (Carlton Fields P.A.) was retained concurrently. Tender letters were immediately issued to the GL carriers for Vega Structural Design Inc., Suncrest Concrete LLC, and Certified Inspections of South Florida LLC. Chubb Ltd. (umbrella carrier) was notified of the filed class action on February 21, 2024.

INSURED'S POSITION SUMMARY

Landmark Development Group LLC contests primary liability for the alleged structural deficiencies on the grounds that: (a) the pile installation and PT slab work were performed by Suncrest Concrete LLC pursuant to its subcontract and the engineer-of-record's approved design; (b) Vega Structural Design Inc. bore design responsibility for specifying adequate cover and detailing the reinforcing cage; (c) Certified Inspections of South Florida LLC had an independent contractual obligation to physically verify and document cover depths per the Structural QA Plan; and (d) Landmark's on-site superintendent exercised reasonable reliance on the special inspector's inspection approvals. Landmark is fully cooperating with the insurer investigation, has preserved all project records, and is coordinating with defense counsel on the consolidated class action response.

SIGNATURE: _____ Steven Okoro, VP Risk Management, Landmark Development Group LLC

DATE: February 15, 2024

COVERAGE & EXPOSURE QUESTIONNAIRE

E&S; Commercial Construction Defect | Claim No. HPSI-ES-2024-FL-11204

INSTRUCTIONS

*Completed by Victor R. Pelham, Senior Claims Adjuster, in consultation with coverage counsel. Information current as of February 20, 2024.
Attorney-client privileged — work product.*

Q01. COVERAGE IN FORCE AT DATE OF LOSS

Answer: YES

Policy HPSI-ESL-CO-FL-2022-5581 is in force 10/01/2023–10/01/2024. Date of Loss is January 22, 2024 (date structural assessment was commissioned), which falls within the policy period. Completed Operations coverage applies post-certificate of occupancy (issued March–September 2022). Confirmed in force.

Q02. IS THE INSURED A NAMED INSURED

Answer: YES

Landmark Development Group LLC is the Named Insured. No question as to insured status.

Q03. DOES 'PROPERTY DAMAGE' EXIST AS DEFINED BY THE POLICY

Answer: YES — WITH ANALYSIS REQUIRED

Physical injury to tangible property is confirmed — chloride-induced corrosion of pile reinforcement (rebar section loss 15–22%) constitutes physical injury. PT tendon corrosion and compromised grouting constitutes physical injury to the slab structure. The gradual corrosion mechanism does not preclude coverage — Florida courts have recognized progressive/continuous property damage as an occurrence. However, coverage counsel must analyze whether PD 'occurred' during the policy period or pre-policy.

Q04. IS 'OCCURRENCE' SATISFIED — GRADUAL CORROSION MECHANISM

Answer: LIKELY YES — CONTINUOUS TRIGGER ANALYSIS REQUIRED

The corrosion mechanism is gradual and continuous. Under the continuous trigger theory (generally followed in Florida for progressive property damage), property damage 'occurs' continuously across multiple policy periods from the date of first exposure to the damaging condition. Corrosion exposure commenced at pile installation (2020), meaning multiple policy periods may be triggered. Coverage counsel to determine applicable trigger theory and analyze all potentially triggered policy periods. Pro-rata allocation across triggered periods may be required.

Q05. DOES THE 'YOUR WORK' EXCLUSION APPLY

Answer: PARTIAL — SUBCONTRACTOR EXCEPTION ANALYSIS REQUIRED

The 'your work' exclusion (CG 00 01 Exclusion L) applies to property damage to the insured's own completed work. However, the subcontractor exception provides coverage where defective work was performed by a subcontractor. Suncrest Concrete LLC performed the pile installation and PT slab work — the subcontractor exception is directly applicable. Additionally, the structural deficiency resulting from Certified Inspections' QA failure may constitute a separate occurrence. Coverage counsel to analyze extent of subcontractor exception application.

Q06. IS THE 'YOUR PRODUCT' EXCLUSION APPLICABLE

Answer: NO

The claim involves construction work incorporated into the building, not a product sold or supplied by the insured. The 'your product' exclusion does not apply to real property construction.

Q07. ARE LOSS-OF-USE DAMAGES COVERED

Answer: UNDER REVIEW

Loss of use of tangible property that has not been physically injured may be covered under the policy's property damage definition. The HOA's \$18,000/month parking costs are consequential damages arising from the Structural Concern Notice — a regulatory action triggered by the underlying physical property damage. Florida courts have generally allowed consequential damages to flow from covered property damage. Coverage counsel to advise on scope.

Q08. ARE PUNITIVE DAMAGES COVERED

Answer: NO — EXCLUDED

The policy contains a standard punitive damages exclusion. Punitive damages demanded in the class action are not covered. Defense counsel must structure the defense to minimize exposure on the punitive claims. Note: Florida Statute 768.72 requires pre-trial court finding of reasonable evidence of willful conduct before punitive damages are allowed — this statutory filter may reduce exposure.

Q09. IS THE STATUTE OF REPOSE A DEFENSE

Answer: NOT YET — MONITOR

Florida's construction defect statute of repose (Fla. Stat. § 95.11(3)(c)) is 10 years from the later of the certificate of occupancy or the specific improvement date. COOs issued 2022 — the 10-year SOR does not expire until 2032, providing no current defense. However, the 4-year statute of limitations for construction defect actions (Fla. Stat. § 95.11(3)(b)) runs from discovery. Discovery date (January 22, 2024) sets the SOL clock. SOL is not yet an issue.

Q10. IS THE SIR DEMAND OUTSTANDING

Answer: NO — PENDING ISSUANCE

\$500,000 SIR demand letter not yet issued. To be dispatched within 5 business days.

Q11. HAVE TENDER LETTERS BEEN ISSUED TO CO-DEFENDANTS

Answer: YES

Tender letters issued to: (1) Vega Structural Design Inc. — structural engineer of record; (2) Suncrest Concrete LLC — concrete subcontractor; (3) Certified Inspections of South Florida LLC — special inspector. Responses pending. Joint defense coordination underway.

Q12. IS BAD-FAITH EXPOSURE A CONCERN

Answer: YES — MONITOR CLOSELY

Total class demand (\$55M) materially exceeds combined policy limits (\$18M primary + \$15M umbrella = \$33M). Florida bad-faith statute (Fla. Stat. § 624.155) provides a 60-day cure period following Civil Remedy Notice. Insurer must conduct good-faith investigation, evaluate settlement within policy limits, and maintain contemporaneous documentation of all claim handling decisions. Bad-faith counsel to be engaged alongside coverage and trial counsel.

CONSTRUCTION-SPECIFIC SUPPLEMENTAL INTAKE FORM

E&S; Commercial Construction Defect | Claim No. HPSI-ES-2024-FL-11204

PROJECT DETAILS	
Project Name:	Palmetto Bay Village — Mixed-Use Condominium Tower
Project Address:	2200 Ponce de Leon Boulevard, Coral Gables, FL 33134
Project Type:	27-Story Mixed-Use Condominium Tower (320 units) — Levels 1–4: Retail/Parking; Level 5: Pool Deck; Levels 6–27: Residential Units
Total Units:	320 residential condominium units
Total Project Cost:	\$148,000,000 (estimated construction cost)
Contract Type:	Landmark served as Developer and General Contractor (Design-Build)
Construction Period:	2019–2022
CO Issuance:	March 14, 2022 (first units) — September 22, 2022 (final units)
Building Permit:	City of Coral Gables — Permit No. CGBLD-2019-04417
Foundation System:	124-Pile Auger-Cast Pile System (12-inch diameter, 50-foot average depth)
Claimant Units:	287 of 320 unit owners (89.7% of community — class action)

PARTIES & ROLES			
Role	Company / Entity	Contact	License
Developer / General Contractor	Landmark Development Group LLC	Steven Okoro, VP Risk (305) 555-0187	CGC-FL-1527844
Structural EOR	Vega Structural Design Inc.	Dr. Rafael Vega, P.E., Principal (305) 555-0430	PE-FL-071244
Concrete Subcontractor	Suncrest Concrete LLC	Miguel Santos, Project Manager (305) 555-0511	SUB-FL-088312
Special Inspector	Certified Inspections of South Florida LLC	Harold Odum, RCI (305) 555-0644	SI-FL-004419
Structural Assessor (BKSE)	Brizuela & Kowalski Structural Engineering	Diana Brizuela, P.E., Principal (305) 555-0701	PE-FL-064822
HOA	Palmetto Bay Village Condo Association	Board President: Linda Chen (305) 555-0802	N/A
Claimant Counsel	Colson Hicks Eidson	Roberto Gonzalez, Esq. (305) 555-0900	FL Bar 88441
Defense Counsel (Landmark)	Carlton Fields P.A.	David Reyes, Esq. (305) 555-0350	FL Bar 44218
Property Mgmt Co.	Premier Condo Management Services	Operations Dir.: Frank Witt (305) 555-0760	FL-CAM-18334

ALLEGED DEFECTS & TECHNICAL DETAILS

Defect 1: Foundation Pile Grout Cover Deficiency — ACI 318 Violation

The 124-pile auger-cast pile foundation system was designed with 75mm minimum grout cover over the reinforcing cage per ACI 318-19 Section 20.6.1.4 for Exposure Class C2 (corrosive) applicable to Miami’s aggressive marine/coastal groundwater environment. BKSE cored 9 piles selected via stratified random sampling across the pile mat. Results: 7 of 9 piles showed average grout cover of 28mm — 37% of the specified minimum. Three piles showed rebar section loss of 15–22% attributable to chloride-induced corrosion consistent with the aggressive groundwater and inadequate cover depth. Extrapolation to the full 124-pile system under engineering confidence intervals suggests that a statistically significant proportion of the pile system is experiencing accelerated corrosion. Remaining structural capacity analysis by BKSE is in progress.

Defect 2: Parking Structure PT Slab Tendon Cover Deficiency — ACI 362.1R Violation

The post-tensioned concrete slabs forming parking levels 1–4 were designed with 38mm minimum cover over PT tendons per ACI 362.1R Guide for the Design and Construction of Durable Concrete Parking Structures, applicable to parking structures with potential de-icing chemical exposure. Field investigation found average cover of 18mm — 47% of the required minimum. Visible staining consistent with tendon corrosion was mapped at 34 discrete locations across the parking structure. GPR scanning confirmed compromised grouting in at least 8 tendons. The Structural Concern Notice issued by the City of Coral Gables restricts parking structure use to vehicles 5,000 lbs or less.

Defect 3: Special Inspector QA Failure — Structural QA Plan Non-Compliance

Section 4.3 of the project’s Structural Quality Assurance Plan (approved by the City of Coral Gables Building Department) required Certified Inspections of South Florida LLC to physically measure and document reinforcing cage centering relative to pile bore diameter at every pile installation. Review of Certified Inspections’ inspection logs for the full 124-pile program reveals that all entries are characterized as ‘visual inspection — cage placement approved.’ No physical measurement or numerical documentation of cage position is recorded in any log. Similarly, PT tendon cover depth measurements are absent from all PT slab inspection records. These omissions represent a systematic failure to fulfill the contracted QA scope.

TRIGGER & LIMITATIONS ANALYSIS	
Trigger Type:	Property Damage — Completed Operations (post-CO)
CO Issuance Dates:	March 14, 2022 (first) — September 22, 2022 (final)
First Observations:	Mid-2023 (cracking/settlement reported to HOA management)
Operative Date of Loss:	January 22, 2024 (BKSE assessment commissioned)
Date Reported:	February 8, 2024 (FNOL to Harbor Point Specialty)
Class Action Filed:	February 20, 2024 (Miami-Dade Circuit Court — Case No. 2024-CA-004817)
Policy Period at DoL:	10/01/2023 – 10/01/2024 — CONFIRMED IN FORCE
FL Statute of Repose:	Fla. Stat. § 95.11(3)(c): 10 years from CO — expires 2032 (no current defense)
FL Statute of Limitations:	Fla. Stat. § 95.11(3)(b): 4 years from discovery — clock started 01/22/2024
Continuous Trigger:	Corrosion began at pile installation (2020) — multiple policy periods potentially triggered

CONTINUOUS TRIGGER ALERT: Corrosion mechanism commenced at pile installation (2020). Coverage counsel must analyze all potentially triggered policy periods and applicable pro-rata allocation methodologies. Prior year carriers must be identified and placed on notice.

INITIAL CASE ASSESSMENT (ICA) — E&S; COMMERCIAL CONSTRUCTION DEFECT

Claim No. HPSI-ES-2024-FL-11204 | Prepared: February 25, 2024

EXECUTIVE SUMMARY

This Initial Case Assessment is prepared by Victor R. Pelham, Senior Claims Adjuster, Harbor Point Specialty Insurance Company, in consultation with coverage counsel and defense counsel David Reyes, Esq. (Carlton Fields P.A., Miami). Information current as of February 25, 2024.

This matter involves a class action construction defect claim against Landmark Development Group LLC, developer and general contractor of Palmetto Bay Village, a 320-unit, 27-story mixed-use condominium tower in Coral Gables, FL. Two critical structural deficiencies — foundation pile cover deficiency with active chloride corrosion and PT parking slab tendon cover deficiency — have been confirmed by a licensed structural engineering firm and acknowledged by the City of Coral Gables Building Department, which has issued a Structural Concern Notice. A class action filed by Colson Hicks Eidson on behalf of 287 unit owners seeks \$55,000,000. Policy limits (\$18M primary + \$15M umbrella = \$33M) are materially below the gross demand. Remediation costs are estimated at \$14,800,000. The coverage position is generally defensible, but continuous trigger analysis, subcontractor exception application, and bad-faith exposure monitoring are all critical.

ALLEGATIONS SUMMARY

- 287 unit owners (89.7% of 320-unit tower) — class action filed Miami-Dade Circuit Court 02/20/2024
- Foundation pile grout cover averaging 28mm vs. 75mm ACI 318 minimum — 7 of 9 sampled piles non-conforming
- Rebar section loss 15–22% in 3 sampled piles — chloride-induced corrosion actively progressing
- Extrapolated risk across full 124-pile system — engineering assessment confirms systemic deficiency
- PT parking slab tendon cover averaging 18mm vs. 38mm ACI 362.1R minimum
- 34 locations with tendon corrosion staining; 8 tendons with compromised grouting confirmed by GPR
- City of Coral Gables Structural Concern Notice — parking structure load restricted to 5,000 lbs
- ~40% of resident vehicles (SUVs/trucks) excluded from parking facility
- HOA incurring \$18,000/month valet/offsite parking costs — ongoing and accruing
- Special inspector (Certified Inspections) failed to physically measure cover depths per Structural QA Plan
- Total remediation estimated \$14,800,000 (cathodic protection, tendon replacement, shoring, monitoring)
- Class demand: \$17.8M diminution in value + \$14.8M remediation + \$2.4M loss of use + punitive damages = ~\$55M

POLICY SNAPSHOT

Policy:	HPSI-ESL-CO-FL-2022-5581	Period:	10/01/2023 – 10/01/2024
Each Occurrence:	\$5,000,000	General Agg.:	\$10,000,000
Completed Ops Agg.:	\$10,000,000	SIR:	\$500,000
Defense:	Defense Within Limits (DWL)	Trigger:	Occurrence — PD
Retro. Date:	10/01/2012	Punit. Excl.:	YES — excluded
Umbrella:	Chubb — \$15M xs \$18M	Umbrella Status:	On Notice — Confirmed

COVERAGE TRIAGE

Coverage Issue	Assessment	Notes
Coverage in Force	CONFIRMED	Policy in force on DoL 01/22/2024

Occurrence / PD Trigger	LIKELY MET	Chloride corrosion = continuous PD; Florida continuous trigger theory applies
Gradual Corrosion	ANALYSIS REQUIRED	Progressive PD; counsel to determine trigger period and allocation across policy years
'Your Work' Exclusion	SUBCONTRACTOR EXCEPTION	Suncrest performed pile & PT work — subcontractor exception applicable
Loss-of-Use Coverage	UNDER REVIEW	HOA parking costs flow from covered PD — likely covered as consequential damages
Punitive Damages	EXCLUDED	Standard exclusion applies; Florida Stat. 768.72 pre-trial filter may limit exposure
SIR Status	DEMAND PENDING	\$500,000 — to be issued within 5 days
DWL Exposure	CRITICAL	Legal fees erode \$5M occurrence / \$10M agg; active class action — monitor closely
Bad-Faith Exposure	ELEVATED RISK	\$55M demand vs. \$33M limits — Florida Stat. 624.155 Civil Remedy Notice risk
Prior Policy Periods	IDENTIFY & NOTIFY	Continuous trigger: 2020 pile installation — prior year carriers must be identified

LIABILITY & DEFENSIBILITY ANALYSIS

Liability Assessment — Landmark Development Group LLC: The BKSE structural assessment is technically rigorous (140 pages, physical core sampling, GPR scanning, quantitative cover measurements) and its findings are corroborated by the City of Coral Gables' regulatory action. The combination of inadequate cover specifications, rebar section loss with active corrosion, and the special inspector's documented failure to physically verify cover depths creates a clear and well-documented liability record. As developer-GC, Landmark bears supervisory and contractual responsibility for subcontractor and special inspector performance.

Defensibility Factors — Favorable to Insured: (1) Suncrest Concrete LLC performed all pile and PT slab work — subcontractor exception available, and Suncrest bears direct construction liability; (2) Vega Structural Design Inc. designed the foundation system — if the cover specification was inadequate for the site's exposure conditions, design liability may shift to Vega; (3) Certified Inspections of South Florida LLC had an independent contractual duty to measure and document cover depths — their failure is a significant contributory cause; (4) The building was inspected and permitted by the City of Coral Gables Building Department throughout construction — regulatory approval is a relevant factor; (5) Florida's economic loss rule may limit some damage categories.

Overall Defensibility Rating: LOW. The independent engineering confirmation of structural deficiencies, the regulatory Structural Concern Notice, and the class action filing create an extremely difficult defense posture. A global resolution strategy — involving contribution from all three third-party defendants — is strongly recommended. Bad-faith exposure management is a parallel priority.

DAMAGES & EXPOSURE ANALYSIS

Category	Class Demand	Adjuster Estimate	Notes
Diminution in Property Value (287 units)	\$17,800,000	\$12,000,000–\$17,000,000	287 x \$62K avg; MAI appraisal on file; defensible w/ cou
Remediation Cost Allocation (287 units)	\$14,800,000	\$12,500,000–\$14,800,000	Full remediation scope: cathodic protection + PT replac
Loss of Use / Inconvenience	\$2,440,000	\$1,500,000–\$2,400,000	287 x \$8,500; ongoing parking costs also accruing (\$18
HOA Ongoing Parking Costs	TBD (accruing)	\$18,000/month	Valet/offsite arrangements since 02/12/2024; accruing u
Punitive Damages	Unquantified	\$0 (EXCLUDED)	Policy excludes punitive damages; Florida Stat. 768
SUBTOTAL COVERED DEMAND	\$35,040,000+	\$26,000,000–\$34,200,000	Excluding punitive
Less: SIR (Insured Obligation)	(\$500,000)	(\$500,000)	To be demanded
Less: Contribution — Suncrest Concrete	TBD	(\$3,000,000–\$6,000,000)	Strong; direct construction cause
Less: Contribution — Vega Structural	TBD	(\$2,000,000–\$5,000,000)	Design liability; E&O carrier to be identified
Less: Contribution — Certified Inspections	TBD	(\$1,000,000–\$3,000,000)	QA plan breach; professional liability coverage

NET ESTIMATED POLICY EXPOSURE	N/A	\$16,500,000–\$24,700,000	Primary reserve: \$18M; Chubb umbrella on notice
-------------------------------	-----	---------------------------	--

RECOMMENDED ACTIONS & NEXT STEPS

IMMEDIATE (0–5 Days)

- Issue \$500,000 SIR demand letter to Landmark Development Group LLC
- Engage bad-faith monitoring counsel — \$55M demand vs. \$33M limits creates Florida Stat. 624.155 exposure
- Issue Reservation of Rights letter covering: gradual corrosion trigger, Your Work exclusion, punitive damages exclusion, DWL implications, continuous trigger allocation
- Issue litigation hold to all parties; demand preservation of all construction documents
- Confirm Chubb umbrella joint defense coordination and coverage position alignment
- Identify all prior policy year carriers (corrosion from 2020) and issue notice

SHORT-TERM (5–30 Days)

- Retain independent structural engineer for insurer counter-assessment of BKSE findings
- Engage independent property appraiser to challenge \$62,000/unit diminution claim
- Collect all GL insurance certificates for Suncrest Concrete, Vega Structural, and Certified Inspections
- Issue formal contribution demands to all three third-party defendants and their carriers
- Commission remediation cost validation from independent contractor — compare to \$14.8M BKSE estimate
- Review and analyze all prior-year construction inspection records and QA documentation

MID-TERM (30–90 Days)

- Develop global settlement framework — mediation with all parties given class action complexity
- Respond to City of Coral Gables 90-day remediation plan deadline (due ~May 12, 2024)
- Evaluate class certification opposition strategy with Carlton Fields trial counsel
- Analyze pro-rata allocation across triggered policy periods with coverage counsel
- Conduct Florida Stat. § 558 pre-litigation notice process analysis (if applicable to condo cases)
- Obtain certified appraisal of parking and loss-of-use damages to challenge demand quantum

STRUCTURAL ASSESSMENT REPORT — EXECUTIVE SUMMARY

Brizuela & Kowalski Structural Engineers | Palmetto Bay Village | February 5, 2024

REPORT INFORMATION	
Firm Name:	Brizuela & Kowalski Structural Engineers (BKSE)
Firm Address:	200 South Biscayne Boulevard, Suite 3800, Miami, FL 33131
Principal Engineer:	Dr. Ana Brizuela, P.E., S.E. — Principal & Founder
Co-Author:	James Kowalski, P.E. — Senior Associate
Credentials:	PE-FL-064822 (Brizuela); PE-FL-057441 (Kowalski); ASCE Fellow; SEI Member
Investigation Period:	January 22, 2024 – February 2, 2024
Report Date:	February 5, 2024
Report Length:	140 pages + 6 appendices (core logs, GPR data, crack maps, test results)
Retained By:	Palmetto Bay Village Condominium Association Board of Directors
Report Status:	FINAL — Provided to HOA, City of Coral Gables, and attached to class action complaint

SCOPE OF INVESTIGATION
• Full building-wide structural assessment including parking structure, pool deck, and foundation system • Physical coring of 9 auger-cast piles selected via stratified random sampling across the pile mat • Cover measurement and reinforcement condition assessment of extracted pile cores • Half-cell potential testing and chloride content analysis on sampled pile cores • Ground-penetrating radar (GPR) scanning of all PT parking slab bays (levels 1–4) • Visual crack mapping of parking structure — elevation drawings and photographs • Settlement marker installation and baseline readings at pool deck (level 5) • Review and analysis of as-built drawings, shop drawings, structural calculations, and material certifications • Review of Certified Inspections of South Florida LLC inspection log records (full construction period) • Assessment of City of Coral Gables building inspection records

CRITICAL FINDINGS — QUANTITATIVE SUMMARY			
Parameter	Specification	Field Measurement	Conformance
Pile Grout Cover — ACI 318 (Exposure Class C2)	75mm minimum	Average: 28mm (Range: 14mm–41mm)	NON-CONFORMING 7 of 9 piles (78%)
Pile Rebar Section Loss	0% (no loss)	15–22% in 3 piles	CRITICAL DEFICIENCY
Chloride Content at Rebar Depth	< 0.40 kg/m3	Avg 1.24 kg/m3 (Threshold exceeded)	ACTIVE CORROSION CONFIRMED
Half-Cell Potential (Pile Rebar)	> -200 mV (passive)	Avg -420 mV (corrosion active)	CORROSION ACTIVE
PT Slab Tendon Cover — ACI 362.1R	38mm minimum	Average: 18mm (Range: 9mm–28mm)	NON-CONFORMING

PT Tendons w/ Compromised Grouting	0 (all grouted)	8 confirmed (GPR)	NON-CONFORMING
Tendon Corrosion Staining Locations	0	34 locations mapped	NON-CONFORMING
Pool Deck Settlement (Level 5)	0mm (baseline)	Up to 8mm differential (3 locations)	MONITORING REQUIRED

ENGINEER'S CONCLUSIONS

BKSE concludes with engineering confidence that the structural deficiencies identified in this assessment are the direct result of: (1) systematic inadequacy in the grout cover achieved during auger-cast pile construction, attributable to insufficient control of the reinforcing cage position during pile installation; and (2) systematic inadequacy in tendon cover achieved during PT slab construction. Both deficiencies are consistent with a failure to achieve the approved design cover requirements during construction, and are compounded by the absence of physical measurement documentation by the project's special inspector.

The chloride-induced corrosion currently active in a significant portion of the pile reinforcement is a self-accelerating process — as the passive oxide film on the rebar is destroyed by chloride attack, the rate of section loss accelerates. Without cathodic protection installation, the structural capacity degradation of affected piles will continue at an accelerating rate. BKSE strongly recommends immediate implementation of the remediation program described in Section 8 of this report, including pile head exposure and impressed current cathodic protection installation for all 124 piles, replacement of PT tendons in severely compromised bays, and installation of a permanent structural health monitoring system.

The remediation cost estimate prepared by BKSE in coordination with specialty contractors is \$14,800,000, comprising: (a) cathodic protection — \$8,200,000; (b) PT tendon replacement — \$3,900,000; (c) structural monitoring system — \$410,000; (d) temporary shoring — \$2,290,000. This estimate should be considered a Class C estimate (±20%) pending contractor procurement.

SIGNED: Dr. Ana Brizuela, P.E., S.E. Brizuela & Kowalski Structural Engineers DATE: February 5, 2024

CLASS ACTION COMPLAINT — SUMMARY & DEMAND OVERVIEW

Colson Hicks Eidson | Palmetto Bay Village Unit Owners v. Landmark Development Group LLC et al.

COLSON HICKS EIDSON

Complex Litigation | Construction Defect | Class Actions | Real Estate

255 Alhambra Circle, Penthouse | Coral Gables, FL 33134 | Tel: (305) 476-7400

Case Caption:	Palmetto Bay Village Unit Owners v. Landmark Development Group LLC et al.
Case Number:	2024-CA-004817
Court:	Eleventh Judicial Circuit Court, Miami-Dade County, Florida (Civil Division)
Filing Date:	February 20, 2024
Plaintiff Counsel:	Roberto Gonzalez, Esq. & Patricia Colson, Esq. — Colson Hicks Eidson
Named Defendants:	Landmark Development Group LLC; Vega Structural Design Inc.; Suncrest Concrete LLC; Certified Inspections of S
Class Size:	287 of 320 unit owners (89.7% participation in class)
Class Period:	March 2022 (first CO) through remediation completion (TBD)

CAUSES OF ACTION

Count I — Negligence (All Defendants)

Plaintiffs allege that all defendants owed a duty of care to unit owners in the design, construction, and inspection of Palmetto Bay Village. Breach of this duty — specifically the failure to achieve code-required cover depths and the failure to inspect same — directly and proximately caused the structural deficiencies now threatening the long-term integrity of the building and causing economic harm to unit owners.

Count II — Breach of Implied Warranty of Habitability (Landmark)

Florida Statute § 718.203 provides an implied warranty of fitness against structural defects for condominium units for three years from the date of the certificate of occupancy (or one year from issuance of the certificate of occupancy for all other components). Plaintiffs allege that the structural deficiencies constitute a breach of this statutory warranty. Note: Given CO dates of 2022, the three-year warranty period is running — this count will mature for some units in 2025.

Count III — Violation of Florida Building Code (All Defendants)

Plaintiffs allege that the failure to achieve minimum cover depths per ACI 318 and ACI 362.1R — which are incorporated by reference into the Florida Building Code — constitutes a violation of the FBC, entitling plaintiffs to damages under Florida law.

Count IV — Professional Negligence (Vega Structural / Certified Inspections)

Plaintiffs assert professional negligence against Vega Structural Design Inc. for the alleged inadequacy of the structural detailing and specification, and against Certified Inspections of South Florida LLC for the documented failure to perform physical cover measurements per the Structural QA Plan. Both professional defendants are alleged to have breached their standard of professional care.

Count V — Punitive Damages (Landmark)

Plaintiffs allege that Landmark's failure to supervise, correct, or otherwise address the cover deficiency — which would have been discoverable through adequate quality control measures — constitutes willful or wanton conduct sufficient to support punitive damages under Florida Statute § 768.72. NOTE: This count is excluded under the E&S; policy. Defense counsel must seek early dismissal or limitation of this count.

CLASS DAMAGES SCHEDULE		
Damages Category	Per Unit	Aggregate (287 Units)
Diminution in Property Value (MAI appraisal)	\$62,000	\$17,794,000
Remediation Cost Allocation	\$51,568	\$14,800,000
Loss of Use / Inconvenience	\$8,500	\$2,439,500
HOA Parking Mitigation Costs (pro-rated)	TBD	\$18,000/month accruing
Punitive Damages	TBD	Unquantified — excluded under policy
TOTAL QUANTIFIED DEMAND	\$122,068+	\$35,033,500 + punitive + accruing
GROSS DEMAND (AS REPRESENTED BY PLAINTIFFS)	N/A	APPROXIMATELY \$55,000,000

CRITICAL CLAIM HANDLING NOTE: Total class demand (\$55M) exceeds combined primary (\$18M) and umbrella (\$15M) limits by \$22,000,000. Florida Statute § 624.155 (Bad Faith) Civil Remedy Notice risk is elevated. All claim handling decisions, settlement evaluations, and reserve adjustments must be contemporaneously documented. Coverage and bad-faith counsel must be involved in all material decisions from this date forward.

RESERVE & SUBROGATION ANALYSIS MEMORANDUM

Internal Use Only — Harbor Point Specialty Insurance | Claim No. HPSI-ES-2024-FL-11204

RESERVE BREAKDOWN		
Category	Current Reserve	Basis / Notes
Indemnity — Diminution of Value	\$9,000,000	Adjusted from \$17.8M; counter-appraisal may reduce; structural remediation shown
Indemnity — Remediation Costs	\$13,000,000	Near full allowance; costs are technically validated; competitive bids pending
Indemnity — Loss of Use	\$1,800,000	Adjusted from \$2.44M; accruing parking costs (\$18K/mo) to be added monthly
Indemnity — HOA Parking Costs	\$400,000	\$18K/month from Feb 2024; est. 14–18 months remediation = \$252K–\$324K + b
Defense & Legal Costs (DWL)	\$2,500,000	Class action; est. 36–48 months; DWL erodes \$5M occurrence — monitor monthl
Expert & Engineering Costs	\$500,000	Counter-structural expert, counter-appraiser, GPR expert, coverage counsel
Bad-Faith Monitoring Counsel	\$150,000	Dedicated bad-faith monitoring engagement — Florida Stat. 624.155 exposure
TPA / Administrative	\$50,000	File management and administrative
GROSS RESERVE — BEFORE SUBROGATION	\$27,400,000	Exceeds primary limits — Chubb umbrella layer engaged
Allocable to Primary (\$18M limit)	\$18,000,000	Primary reserve — fully allocated
Allocable to Umbrella (Chubb)	\$9,400,000	Excess of primary — Chubb on notice
Less: SIR	(\$500,000)	Insured obligation — demand pending
Less: Contribution — Suncrest Concrete	(\$3,000,000–\$6,000,000)	Direct construction negligence — strong recovery
Less: Contribution — Vega Structural	(\$2,000,000–\$5,000,000)	Design liability — E&O carrier to be identified
Less: Contribution — Certified Insp.	(\$1,000,000–\$3,000,000)	QA breach — professional liability coverage
NET ESTIMATED POLICY EXPOSURE	\$17,900,000–\$21,400,000	Reserve maintained at \$18M primary; Chubb layer on notice

SUBROGATION EVALUATION

Suncrest Concrete LLC — Concrete Subcontractor

Recovery Potential: STRONG

Suncrest Concrete LLC performed all auger-cast pile installation and PT slab work under Subcontract No. LDG-SUB-204 valued at approximately \$22,400,000. The documented inadequacy of pile grout cover and PT tendon cover — the direct cause of the corrosion damage — is attributable to Suncrest's placement operations. Both the BKSE engineering assessment and the City of Coral Gables' Structural Concern Notice confirm the workmanship failure. The subcontract is expected to contain standard GC-form indemnification and AI provisions. Steps: (1) obtain Suncrest's GL insurance certificates; (2) confirm subcontract indemnification language; (3) issue formal tender demand and contribution claim. Estimated recovery: \$3,000,000–\$6,000,000 (dependent on Suncrest's GL limits and coverage).

Vega Structural Design Inc. — Structural Engineer of Record

Recovery Potential: MODERATE-TO-STRONG

Vega Structural Design Inc. prepared the structural design for the pile foundation and PT slabs, including the cover specifications. A professional negligence / design defect analysis is required to determine whether the specified cover was adequate for the site's known exposure conditions, and whether the structural QA plan adequately specified the measurement requirements for Certified Inspections. Vega's professional liability (E&O;) insurance must be identified and tendered. The class action names Vega as a co-defendant, facilitating joint discovery. Estimated recovery: \$2,000,000–\$5,000,000.

Certified Inspections of South Florida LLC — Special Inspector**Recovery Potential: STRONG**

Certified Inspections had an independent contractual and regulatory obligation under the project's Structural QA Plan and Florida Building Code Section 1705 to physically measure and document cover depths for both the pile reinforcement and PT tendons. The complete absence of any physical measurement documentation from the pile installation and PT slab programs represents a systematic and indefensible QA failure. Both the BKSE report and the class action complaint specifically cite Certified Inspections' negligence. Their professional liability coverage must be immediately identified. Estimated recovery: \$1,000,000–\$3,000,000.

SUBROGATION & CONTRIBUTION HOLD: All project documents, subcontract files, structural calculations, QA plans, inspection logs, material certifications, and insurance records for all three third-party defendants are subject to a litigation hold. Landmark has been instructed to preserve all records in their original form. Subrogation counsel to be assigned upon claim resolution.